Meta Platforms Inc. (META)

Framing Recent News Reports Against Our View of Strategic Focus Areas

META	12m Price Target: **$835.00**	Price: **$593.66**	Upside: **40.7%**

In the past few weeks, multiple news reports have indicated that META management may take several potential actions: a) a large headcount restructuring (link); b) a reduction of investments in its Reality Labs segment (link); and c) a delay in the public release of the latest foundational models from the company's Superintelligence Lab (link).

In this note, we examine all three potential actions and explore the resulting scope of 2026-2028 EPS upside if such initiatives were to be implemented. We'd highlight a few broad takeaways (as it relates to our views) as follows:

- We believe that META mgmt gave a fulsome forward opex/capex guidance with the last set of earnings result and it would be premature to think that any of these news reports were entirely incremental to that framing;
- More likely any cost saving initiatives should be viewed as META mgmt striking a greater degree of balance in terms of finding company-wide savings to balance forward operating efficiencies as a means to fund growth initiatives (with the majority of those anchored around compute needs);
- That being said, if accurate, such initiatives could return META to prior period cadence of providing an initial opex/capex guidance to begin a fiscal year and then delivering on an upward trajectory in terms of EPS revisions as the fiscal year progress (this remains our working view);
- Such initiatives would also be part of a broader technology shift that has been evident in company and industry conversations since mid-December that the industry will be driving for increased compute intensive efficiencies while continuing to adjust the gross/net level of absolute employees and forward hiring growth;

BUY

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Key Data

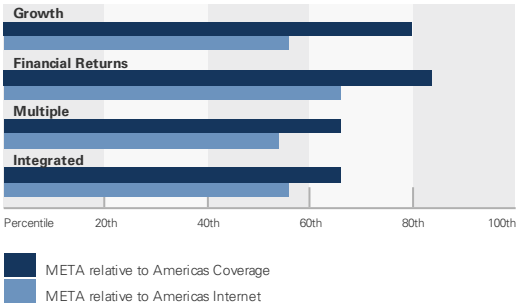
Market cap: $1.5tr
Enterprise value: $1.5tr
3m ADTV: $9.4bn
United States
Americas Internet
M&A Rank: 3

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue ($ mn)	200,965.0	251,108.3	299,097.6	345,410.3
EBITDA ($ mn)	101,892.0	123,011.5	157,091.0	190,339.8
EBIT ($ mn)	83,276.0	84,762.2	99,831.6	112,239.8
EPS ($)	23.49	28.79	33.59	37.52
P/E (X)	28.5	20.6	17.7	15.8
EV/EBITDA (X)	16.8	12.3	9.6	7.9
FCF yield (%)	2.7	2.9	2.9	3.7
Dividend yield (%)	0.3	0.4	0.4	0.4
Net debt/EBITDA (X)	0.2	0.0	(0.1)	(0.2)

	12/25	3/26E	6/26E	9/26E
EPS ($)	8.88	6.09	6.64	7.14

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates. See disclosures for details.

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BUY

Meta Platforms Inc. (META)

Rating since Sep 12, 2021

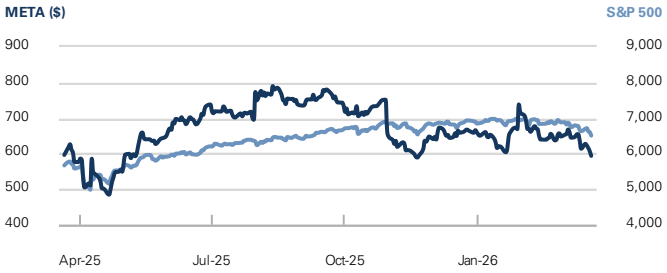
Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	28.5	20.6	17.7	15.8
EV/EBITDA (X)	16.8	12.3	9.6	7.9
EV/sales (X)	8.5	6.0	5.1	4.3
FCF yield (%)	2.7	2.9	2.9	3.7
EV/DACF (X)	15.1	11.6	9.3	7.7
CROCI (%)	36.5	31.8	31.5	29.9
ROE (%)	30.2	29.2	26.3	23.4
Net debt/EBITDA (X)	0.2	0.0	(0.1)	(0.2)
Net debt/equity (%)	10.5	0.4	(3.5)	(8.4)
Interest cover (X)	89.1	45.8	54.0	60.7
Inventory days	NM	NM	NM	NM
Receivable days	33.4	29.6	25.7	21.6
Days payable outstanding	83.7	70.1	75.5	77.6

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	22.2	25.0	19.1	15.5
EBITDA growth	20.0	20.7	27.7	21.2
EPS growth	(2.1)	22.6	16.7	11.7
DPS growth	5.3	0.4	0.0	0.0
Gross margin	82.0	75.4	71.4	67.9
EBIT margin	41.4	33.8	33.4	32.5

Price Performance



	3m	6m	12m
Absolute	(9.9)%	(23.7)%	1.3%
Rel. to the S&P 500	(5.3)%	(21.9)%	(11.8)%

Source: FactSet. Price as of 20 Mar 2026 close.

Income Statement ($ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	200,965.0	251,108.3	299,097.6	345,410.3
Cost of goods sold	(36,174.0)	(61,893.3)	(85,685.7)	(111,042.8)
SG&A	(24,143.0)	(26,354.7)	(27,672.4)	(28,917.7)
R&D	(57,372.0)	(78,098.1)	(85,907.9)	(93,210.1)
Other operating inc./(exp.)	–	–	–	–
EBITDA	**101,892.0**	**123,011.5**	**157,091.0**	**190,339.8**
Depreciation & amortization	(18,616.0)	(38,249.3)	(57,259.5)	(78,100.0)
EBIT	**83,276.0**	**84,762.2**	**99,831.6**	**112,239.8**
Net interest inc./(exp.)	2,657.0	1,722.5	2,105.3	2,579.2
Income/(loss) from associates	–	–	–	–
Pre-tax profit	**85,933.0**	**86,484.7**	**101,936.9**	**114,818.9**
Provision for taxes	(25,475.0)	(12,107.9)	(14,271.2)	(16,074.7)
Minority interest	–	–	–	–
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**60,458.0**	**74,376.8**	**87,665.7**	**98,744.3**
Net inc. (post-exceptionals)	**60,458.0**	**74,376.8**	**87,665.7**	**98,744.3**
EPS (basic, pre-except) ($)	**23.98**	**29.24**	**34.11**	**38.10**
EPS (diluted, pre-except) ($)	**23.49**	**28.79**	**33.59**	**37.52**
EPS (ex-ESO exp., dil.) ($)	**--**	**--**	**--**	**--**
DPS ($)	2.11	2.12	2.12	2.12
Div. payout ratio (%)	8.8	7.2	6.2	5.6
Wtd avg shares out. (basic) (mn)	2,521.0	2,543.4	2,569.8	2,591.8
Wtd avg shares out. (diluted) (mn)	2,574.0	2,583.4	2,609.8	2,631.8

Balance Sheet ($ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	35,873.0	57,638.5	72,026.0	98,155.0
Accounts receivable	19,769.0	20,965.1	21,088.3	19,869.4
Inventory	–	–	–	–
Other current assets	53,080.0	49,509.8	47,639.7	45,975.8
Total current assets	**108,722.0**	**128,113.3**	**140,753.9**	**164,000.2**
Net PP&E	196,804.0	290,730.2	392,081.3	496,383.5
Net intangibles	24,534.0	24,534.0	24,534.0	24,534.0
Total investments	27,524.0	27,524.0	27,524.0	27,524.0
Other long-term assets	8,437.0	11,621.3	15,057.4	18,593.4
Total assets	**366,021.0**	**482,522.8**	**599,950.6**	**731,035.2**
Accounts payable	8,894.0	14,880.7	20,579.0	26,652.7
Short-term debt	–	–	–	–
Current lease liabilities	2,213.0	2,213.0	2,213.0	2,213.0
Other current liabilities	30,729.0	63,858.9	88,312.2	114,376.7
Total current liabilities	**41,836.0**	**80,952.6**	**111,104.2**	**143,242.4**
Long-term debt	58,744.0	58,744.0	58,744.0	58,744.0
Non-current lease liabilities	22,940.0	22,940.0	22,940.0	22,940.0
Other long-term liabilities	25,258.0	27,765.8	32,637.0	37,868.0
Total long-term liabilities	**106,942.0**	**109,449.8**	**114,321.0**	**119,552.0**
Total liabilities	**148,778.0**	**190,402.4**	**225,425.1**	**262,794.4**
Preferred shares	–	–	–	–
Total common equity	**217,243.0**	**292,120.5**	**374,525.5**	**468,240.8**
Minority interest	–	–	–	–
Total liabilities & equity	**366,021.0**	**482,522.8**	**599,950.6**	**731,035.2**
BVPS ($)	85.90	114.12	145.06	179.83

Cash Flow ($ mn)

	12/25	12/26E	12/27E	12/28E
Net income	60,458.0	74,376.8	87,665.7	98,744.3
D&A add-back	18,616.0	38,249.3	57,259.5	78,100.0
Minority interest add-back	–	–	–	–
Net (inc)/dec working capital	(885.0)	37,265.0	30,059.8	33,696.3
Others	37,611.0	21,447.3	22,519.7	23,533.0
Cash flow from operations	**115,800.0**	**171,338.4**	**197,504.7**	**234,073.7**
Capital expenditures	(69,691.0)	(128,210.2)	(153,852.3)	(176,930.1)
Acquisitions	(4,229.0)	–	–	–
Divestitures	–	–	–	–
Others	(28,083.0)	3,549.3	3,273.7	3,019.6
Cash flow from investing	**(102,003.0)**	**(124,661.0)**	**(150,578.6)**	**(173,910.6)**
Dividends paid	–	–	–	–
Share issuance/(repurchase)	–	–	–	–
Inc/(dec) in debt	29,906.0	–	–	–
Others	(51,719.0)	(24,911.9)	(32,538.7)	(34,034.1)
Cash flow from financing	**(21,813.0)**	**(24,911.9)**	**(32,538.7)**	**(34,034.1)**
Total cash flow	**(8,016.0)**	**21,765.5**	**14,387.5**	**26,129.0**
Free cash flow	46,109.0	43,128.2	43,652.4	57,143.6
Free cash flow per share (basic) ($)	18.29	16.96	16.99	22.05

Source: Company data, Goldman Sachs Research estimates.

- Initial reports appear to have conflated the company's strategic changes to Horizon Worlds as a broad cutting/end to Reality Labs investments as a whole (as evidenced by Meta's several follow-up reports/comments to this effect – link | link) – our view is that this is a de-emphasis of legacy VR investments only, with META remaining very committed to its broad spatial computing vision (across hardware, software/OS and Meta AI as a central agent) and forward computing initiatives;
- As to the foundational model delays, we have always been of the view that META would need at least 9-12 months (i.e. ~May/June 2026) to stand up the work of the Super Intelligence Lab in the public domain (given we are less than a year removed from the initial forming of the group in mid-2025) when compared to the long standing work of several other frontier model labs (Google's DeepMind, OpenAI, Anthropic, etc.). We continue to remain anchored around META's founder/CEO comments from the public earnings call that any public release (& resultant pillars of their AI strategy – compute, agentic products, etc.) would be more of a 2H 2026 into 2027 timing dynamic and would represent first iterations of models (that could be built upon over a multi-year time horizon).

In this report, we detail three separate illustrative analyses based on reports of these potential actions and how they may impact META's forward earnings growth:

- **Scenario 1: Flexing Headcount & Cost per Employee**, which implies a potential ~LDD % tailwind to our current GAAP EBIT/EPS estimates in 2026 and ~20%+ tailwind in 2027/2028.
- **Scenario 2: Flexing Reality Labs Opex**, which implies a more modest potential ~L-MSD % tailwind to our current GAAP EBIT/EPS estimates in 2026-28.
- **Scenario 3: Flexing Total Non-D&A Opex Growth**, which implies the most significant potential (albeit least likely in our view) ~30%+ multi-year tailwind to our current GAAP EBIT/EPS estimates in 2026-2028 (assuming the company were to achieve flat growth ex-D&A). We present these as "blue sky" illustrative scenarios meant to show how various potential actions by management would translate into earnings growth in the coming years, and is not meant to be interpreted as our "base case" estimates as there are a number of factors (investments against various long-term growth opportunities, particularly around AI; capital intensity & resulting D&A expenses being higher than anticipated; etc.) that would cause these to be overstated.

In total, we present these scenarios as indicative that META remains well able to produce forward positive EPS revisions because of any initiatives which aim to balance efficiencies and forward growth investments given the current construct of its cost base.

Since January 29th (one day after META's Q4'25 earnings release [link] which produced a positive initial one-day stock reaction), Meta shares have traded off (20)% (compared to the SPX of (7)%) on the back of investor concerns that non-Family Apps AI/compute spending would either be long duration in nature and/or have a low/negative visible return on capital in the coming years. This investor concern has manifested across all three large cap AI capex spenders among our coverage universe (META, AMZN & GOOGL), which we recently addressed in our sector earnings review note (link). Over the

long term, we continue to see META mgmt. focused squarely on the core building blocks of growth around operating themes (with the framework having been put in place over the last ~12 months) at the intersection of AI and spatial computing across the existing Family of Apps, new standalone apps, and the hardware/software/platform potential around Reality Labs. In addition, we see mgmt. focused on aligning investments across a world-class compute infrastructure. We continue to frame META as well-positioned against several long-term secular growth themes and are encouraged by the positive momentum across key product initiatives incl. Reels, click-to-messaging Ads and AI including Advantage+ adoption of advertising budgets. In addition, we continue to see multiple under-monetized surfaces and use cases across Family of Apps – WhatsApp, agentic commerce, video formats & Threads.

We reiterate our Buy rating & our 12-month price target of $835. At its current stock price, META currently trades at ~20x / ~17x our current 2026/2027 GAAP EPS estimates (ex-net cash), respectively. While the forward trajectory of annualized free cash flow will continue to raise questions about the valuation methodology for META shares, we continue to see the impact of 2025-2027 capex as a means of positioning the company for long-term growth and market opportunities and find recent narratives (discussed in this note) as emblematic of a company that historically has positively progressed through investment cycles to the benefit of long-term equity value creation.

Flexing The Potential Impact of Any Cost Initiatives in Terms of Upside to EBIT/EPS – 3 Illustrative Scenarios

In recent weeks there have been a number of company announcements (link) and press reports (link | link | link) indicating the potential for META to undertake cost rationalization and/or RIFs efforts. To illustrate the potential for META to take various actions around cost rationalization / reprioritization of investments and the resulting potential upside to our current forward earnings estimates, below we present 3 illustrative scenarios flexing several action items by management. Specifically, the 3 scenarios center around:

- **Illustrative Scenario 1:** Flexing Headcount & Non-D&A Expenses per Headcount Growth
- **Illustrative Scenario 2:** Flexing Reality Labs Expense Cuts (& % Reinvestment Rate)
- **Illustrative Scenario 3:** Flexing Total Non-D&A Opex Growth (Flat Over 3 Years)

The 3 illustrative scenarios imply sizeable upside vs. our current forecasts for GAAP EBIT/EPS over the next 3 years. We present these as "blue sky" illustrative scenarios meant to show how various potential actions by management would translate into earnings growth in the coming years, and is not meant to be interpreted as our "base case" estimates as there are a number of factors (investments against various long-term growth opportunities, particularly around AI; capital intensity & resulting D&A expenses being higher than anticipated; etc.) that would cause these to be overstated. Further, this analysis is meant to be an upside scenario for aggregate 4-year earnings (vs. any one single year's earnings) - our confidence interval in the upside case (in aggregate) across those years is higher than any given 6-12 month period (which is based on a whole host of variable assumptions based on our historical company financial analysis and broad industry conversations).

Illustrative Scenario 1: Flexing Headcount & Non-D&A Expenses per Headcount Growth

Based on reports of potential layoffs/RIFs at Meta (link), this scenario assumes: a) year-end total headcount declines by 15% YoY in 2026 and grows +5% YoY in 2027 & 2028; & b) average non-D&A total GAAP expenses per employee grow by ~6% YoY in '26-'28. All else equal, **this scenario would result in a ~LDD % tailwind to our current GAAP EBIT/EPS estimates in 2026 and ~20%+ tailwind in 2027/2028**.

Exhibit 1: META Expense Scenario 1 - Flexing Headcount & Cost per Employee Growth
$mm, except per-share values

META Expense Scenario 1 ($mm)	2024	2025	2026E	2027E	2028E
Revenues - Total	**$ 164,500**	**$ 200,965**	**$ 251,108**	**$ 299,098**	**$ 345,410**
% y/y growth	*21.9%*	*22.2%*	*25.0%*	*19.1%*	*15.5%*
GAAP EBIT - Total	**$ 69,380**	**$ 83,276**	**$ 93,845**	**$ 123,014**	**$ 135,059**
% margin	*42.2%*	*41.4%*	*37.4%*	*41.1%*	*39.1%*
% diff. vs. GSe			***10.7%***	***23.2%***	***20.3%***
GAAP Expenses - Total	**$ 95,120**	**$ 117,689**	**$ 157,264**	**$ 176,084**	**$ 210,352**
% y/y growth	*7.9%*	*23.7%*	*33.6%*	*12.0%*	*19.5%*
% diff. vs. GSe			***-5.5%***	***-11.6%***	***-9.8%***
D&A	$ 15,498	$ 18,616	$ 38,249	$ 57,259	$ 78,100
% y/y growth	*38.7%*	*20.1%*	*105.5%*	*49.7%*	*36.4%*
Non-D&A	$ 79,622	$ 99,073	$ 119,014	$ 118,825	$ 132,252
% y/y growth	*3.4%*	*24.4%*	*20.1%*	*-0.2%*	*11.3%*
Year-End Headcount	**74,067**	**78,865**	**67,035**	**70,387**	**73,906**
% y/y growth	*10.0%*	*6.5%*	*-15.0%*	*5.0%*	*5.0%*
Avg. Headcount	*70,692*	*76,466*	*72,950*	*68,711*	*72,147*
Avg. Revenue per Employee	$ 2.33	$ 2.63	$ 3.44	$ 4.35	$ 4.79
% y/y growth	*32.6%*	*12.9%*	*31.0%*	*26.5%*	*10.0%*
Avg. Non-D&A Expenses per Employee	$ 1.35	$ 1.54	$ 1.63	$ 1.73	$ 1.83
% y/y growth	*17.4%*	*14.4%*	*6.0%*	*6.0%*	*6.0%*
GAAP Net Income	**$ 62,360**	**$ 60,458**	**$ 82,188**	**$ 107,602**	**$ 118,368**
GAAP EPS (Diluted)	**$ 23.99**	**$ 23.49**	**$ 31.81**	**$ 41.23**	**$ 44.98**
% diff. vs. GSe			***10.5%***	***22.7%***	***19.9%***

Source: Company data, Goldman Sachs Global Investment Research

Below we present scenario analyses flexing these two variables (headcount growth & non-D&A expenses per employee growth) in 2026 & 2027.

Exhibit 2: Scenario Analysis - Flexing Headcount & Cost per Employee Growth
$mm, except per-share values

META Total GAAP Expenses ($mm)

2026E:

Headcount Growth (% y/y)	Avg. Non-D&A Expense per Head Growth (% y/y) 8.0%	7.0%	6.0%	5.0%	4.0%	3.0%
-7.5%	$ 164,425	$ 163,257	$ 162,089	$ 160,920	$ 159,752	$ 158,584
-10.0%	$ 162,787	$ 161,633	$ 160,480	$ 159,327	$ 158,174	$ 157,021
-12.5%	$ 161,148	$ 160,010	$ 158,872	$ 157,734	$ 156,596	$ 155,458
-15.0%	$ 159,509	$ 158,386	$ 157,264	$ 156,141	$ 155,018	$ 153,895
-17.5%	$ 157,871	$ 156,763	$ 155,655	$ 154,548	$ 153,440	$ 152,333
-20.0%	$ 156,232	$ 155,139	$ 154,047	$ 152,955	$ 151,862	$ 150,770

% delta vs. current GSe:

Headcount Growth (% y/y)	Avg. Non-D&A Expense per Head Growth (% y/y) 8.0%	7.0%	6.0%	5.0%	4.0%	3.0%
-7.5%	-1.2%	-1.9%	-2.6%	-3.3%	-4.0%	-4.7%
-10.0%	-2.1%	-2.8%	-3.5%	-4.2%	-4.9%	-5.6%
-12.5%	-3.1%	-3.8%	-4.5%	-5.2%	-5.9%	-6.5%
-15.0%	-4.1%	-4.8%	-5.5%	-6.1%	-6.8%	-7.5%
-17.5%	-5.1%	-5.8%	-6.4%	-7.1%	-7.8%	-8.4%
-20.0%	-6.1%	-6.7%	-7.4%	-8.1%	-8.7%	-9.4%

META Total GAAP Operating Income ($mm)

Headcount Growth (% y/y)	Avg. Non-D&A Expense per Head Growth (% y/y) 8.0%	7.0%	6.0%	5.0%	4.0%	3.0%
-7.5%	$ 86,683	$ 87,851	$ 89,020	$ 90,188	$ 91,356	$ 92,525
-10.0%	$ 88,322	$ 89,475	$ 90,628	$ 91,781	$ 92,934	$ 94,087
-12.5%	$ 89,960	$ 91,098	$ 92,236	$ 93,374	$ 94,512	$ 95,650
-15.0%	$ 91,599	$ 92,722	$ 93,845	$ 94,967	$ 96,090	$ 97,213
-17.5%	$ 93,238	$ 94,345	$ 95,453	$ 96,561	$ 97,668	$ 98,776
-20.0%	$ 94,876	$ 95,969	$ 97,061	$ 98,154	$ 99,246	$ 100,339

% delta vs. current GSe:

Headcount Growth (% y/y)	Avg. Non-D&A Expense per Head Growth (% y/y) 8.0%	7.0%	6.0%	5.0%	4.0%	3.0%
-7.5%	2.3%	3.6%	5.0%	6.4%	7.8%	9.2%
-10.0%	4.2%	5.6%	6.9%	8.3%	9.6%	11.0%
-12.5%	6.1%	7.5%	8.8%	10.2%	11.5%	12.8%
-15.0%	8.1%	9.4%	10.7%	12.0%	13.4%	14.7%
-17.5%	10.0%	11.3%	12.6%	13.9%	15.2%	16.5%
-20.0%	11.9%	13.2%	14.5%	15.8%	17.1%	18.4%

META - GAAP EPS

Headcount Growth (% y/y)	Avg. Non-D&A Expense per Head Growth (% y/y) 8.0%	7.0%	6.0%	5.0%	4.0%	3.0%
-7.5%	$ 29.43	$ 29.82	$ 30.21	$ 30.60	$ 30.99	$ 31.37
-10.0%	$ 29.98	$ 30.36	$ 30.74	$ 31.13	$ 31.51	$ 31.89
-12.5%	$ 30.52	$ 30.90	$ 31.28	$ 31.66	$ 32.04	$ 32.41
-15.0%	$ 31.07	$ 31.44	$ 31.81	$ 32.19	$ 32.56	$ 32.94
-17.5%	$ 31.61	$ 31.98	$ 32.35	$ 32.72	$ 33.09	$ 33.46
-20.0%	$ 32.16	$ 32.52	$ 32.88	$ 33.25	$ 33.61	$ 33.98

% delta vs. current GSe:

Headcount Growth (% y/y)	Avg. Non-D&A Expense per Head Growth (% y/y) 8.0%	7.0%	6.0%	5.0%	4.0%	3.0%
-7.5%	2.2%	3.6%	4.9%	6.3%	7.6%	9.0%
-10.0%	4.1%	5.4%	6.8%	8.1%	9.4%	10.8%
-12.5%	6.0%	7.3%	8.6%	10.0%	11.3%	12.6%
-15.0%	7.9%	9.2%	10.5%	11.8%	13.1%	14.4%
-17.5%	9.8%	11.1%	12.4%	13.6%	14.9%	16.2%
-20.0%	11.7%	13.0%	14.2%	15.5%	16.7%	18.0%

2027E

Headcount Growth (% y/y)	Avg. Non-D&A Expense per Head Growth (% y/y) 8.0%	7.0%	6.0%	5.0%	4.0%	3.0%
8.0%	$ 193,459	$ 190,948	$ 188,461	$ 185,997	$ 183,557	$ 181,139
7.0%	$ 189,140	$ 186,710	$ 184,301	$ 181,915	$ 179,552	$ 177,212
6.0%	$ 184,858	$ 182,506	$ 180,176	$ 177,867	$ 175,581	$ 173,317
5.0%	$ 180,610	$ 178,337	$ 176,084	$ 173,853	$ 171,642	$ 169,453
4.0%	$ 176,398	$ 174,202	$ 172,027	$ 169,871	$ 167,737	$ 165,622
3.0%	$ 172,222	$ 170,103	$ 168,003	$ 165,924	$ 163,864	$ 161,823

% delta vs. current GSe:

Headcount Growth (% y/y)	Avg. Non-D&A Expense per Head Growth (% y/y) 8.0%	7.0%	6.0%	5.0%	4.0%	3.0%
8.0%	-2.9%	-4.2%	-5.4%	-6.7%	-7.9%	-9.1%
7.0%	-5.1%	-6.3%	-7.5%	-8.7%	-9.9%	-11.1%
6.0%	-7.2%	-8.4%	-9.6%	-10.7%	-11.9%	-13.0%
5.0%	-9.4%	-10.5%	-11.6%	-12.8%	-13.9%	-15.0%
4.0%	-11.5%	-12.6%	-13.7%	-14.8%	-15.8%	-16.9%
3.0%	-13.6%	-14.6%	-15.7%	-16.7%	-17.8%	-18.8%

Headcount Growth (% y/y)	Avg. Non-D&A Expense per Head Growth (% y/y) 8.0%	7.0%	6.0%	5.0%	4.0%	3.0%
8.0%	$ 105,639	$ 108,149	$ 110,637	$ 113,100	$ 115,541	$ 117,958
7.0%	$ 109,957	$ 112,388	$ 114,796	$ 117,182	$ 119,545	$ 121,886
6.0%	$ 114,240	$ 116,592	$ 118,922	$ 121,230	$ 123,517	$ 125,781
5.0%	$ 118,487	$ 120,761	$ 123,014	$ 125,245	$ 127,455	$ 129,644
4.0%	$ 122,699	$ 124,895	$ 127,071	$ 129,226	$ 131,361	$ 133,475
3.0%	$ 126,876	$ 128,995	$ 131,094	$ 133,174	$ 135,234	$ 137,274

% delta vs. current GSe:

Headcount Growth (% y/y)	Avg. Non-D&A Expense per Head Growth (% y/y) 8.0%	7.0%	6.0%	5.0%	4.0%	3.0%
8.0%	5.8%	8.3%	10.8%	13.3%	15.7%	18.2%
7.0%	10.1%	12.6%	15.0%	17.4%	19.7%	22.1%
6.0%	14.4%	16.8%	19.1%	21.4%	23.7%	26.0%
5.0%	18.7%	21.0%	23.2%	25.5%	27.7%	29.9%
4.0%	22.9%	25.1%	27.3%	29.4%	31.6%	33.7%
3.0%	27.1%	29.2%	31.3%	33.4%	35.5%	37.5%

Headcount Growth (% y/y)	Avg. Non-D&A Expense per Head Growth (% y/y) 8.0%	7.0%	6.0%	5.0%	4.0%	3.0%
8.0%	$ 35.50	$ 36.33	$ 37.15	$ 37.96	$ 38.77	$ 39.56
7.0%	$ 36.93	$ 37.73	$ 38.52	$ 39.31	$ 40.09	$ 40.86
6.0%	$ 38.34	$ 39.11	$ 39.88	$ 40.64	$ 41.40	$ 42.14
5.0%	$ 39.74	$ 40.49	$ 41.23	$ 41.97	$ 42.69	$ 43.42
4.0%	$ 41.13	$ 41.85	$ 42.57	$ 43.28	$ 43.98	$ 44.68
3.0%	$ 42.50	$ 43.20	$ 43.89	$ 44.58	$ 45.26	$ 45.93

% delta vs. current GSe:

Headcount Growth (% y/y)	Avg. Non-D&A Expense per Head Growth (% y/y) 8.0%	7.0%	6.0%	5.0%	4.0%	3.0%
8.0%	5.7%	8.2%	10.6%	13.0%	15.4%	17.8%
7.0%	9.9%	12.3%	14.7%	17.0%	19.3%	21.6%
6.0%	14.1%	16.4%	18.7%	21.0%	23.2%	25.5%
5.0%	18.3%	20.5%	22.7%	24.9%	27.1%	29.2%
4.0%	22.4%	24.6%	26.7%	28.8%	30.9%	33.0%
3.0%	26.5%	28.6%	30.7%	32.7%	34.7%	36.7%

Source: Company data, Goldman Sachs Global Investment Research

Illustrative Scenario 2: Flexing Reality Labs Expense Cuts (& % Reinvestment)
While Meta remains committed to its overall Reality Labs strategy (across AR, VR, mixed reality & AI integration), recent reports of cost rationalization & reprioritization of certain products within its Reality Labs division (link | link | link) indicates (in our view) that Meta is somewhat depriorizing traditional VR investments in favor of continued investment in both AI and AR/spatial computing (across hardware, software/apps and Meta AI). As a result, this scenario assumes: a) total Reality Labs segment expenses decline by ~HSD-LDD % in 2026-28; & b) ~10% of those cost cuts are reinvested back into the business (either within Reality Labs or Family of Apps segments). All else equal, **this scenario would result in a more modest ~L-MSD % tailwind to our current GAAP EBIT/EPS estimates in 2026-28**.

Exhibit 3: META Expense Scenario 2 - Flexing Reality Labs Expense Cuts (& % Reinvestment)
$mm, except per-share values

META Expense Scenario 2 ($mm)	2024	2025	2026E	2027E	2028E
Revenues - Total	**$ 164,500**	**$ 200,965**	**$ 251,108**	**$ 299,098**	**$ 345,410**
% y/y growth	*21.9%*	*22.2%*	*25.0%*	*19.1%*	*15.5%*
Revenues - Family of Apps	**$ 162,354**	**$ 198,758**	**$ 248,350**	**$ 295,787**	**$ 341,520**
% y/y growth	*22.1%*	*22.4%*	*25.0%*	*19.1%*	*15.5%*
% of total	*98.7%*	*98.9%*	*98.9%*	*98.9%*	*98.9%*
Revenues - Reality Labs	**$ 2,146**	**$ 2,207**	**$ 2,759**	**$ 3,311**	**$ 3,890**
% y/y growth	*13.2%*	*2.8%*	*25.0%*	*20.0%*	*17.5%*
% of total	*1.3%*	*1.1%*	*1.1%*	*1.1%*	*1.1%*
GAAP EBIT - Total	**$ 69,380**	**$ 83,276**	**$ 87,240**	**$ 103,304**	**$ 116,681**
% margin	*42.2%*	*41.4%*	*34.7%*	*34.5%*	*33.8%*
% diff. vs. GSe			***2.9%***	***3.5%***	***4.0%***
GAAP EBIT - Family of Apps	**$ 87,109**	**$ 102,469**	**$ 103,955**	**$ 118,065**	**$ 129,561**
% margin	*53.7%*	*51.6%*	*41.9%*	*39.9%*	*37.9%*
GAAP EBIT - Reality Labs	**$ (17,729)**	**$ (19,193)**	**$ (16,715)**	**$ (14,761)**	**$ (12,881)**
% margin	*-10.9%*	*-9.7%*	*-6.7%*	*-5.0%*	*-3.8%*
GAAP Expenses - Total	**$ 95,120**	**$ 117,689**	**$ 163,868**	**$ 195,794**	**$ 228,730**
% y/y growth	*7.9%*	*23.7%*	*39.2%*	*19.5%*	*16.8%*
% diff. vs. GSe			***-1.5%***	***-1.7%***	***-1.9%***
GAAP Expenses - Family of Apps	$ 75,245	$ 96,289	$ 144,394	$ 177,722	$ 211,959
% y/y growth	*7.3%*	*28.0%*	*50.0%*	*23.1%*	*19.3%*
GAAP Expenses - Reality Labs	$ 19,875	$ 21,400	$ 19,474	$ 18,072	$ 16,771
% y/y growth	*10.3%*	*7.7%*	*-9.0%*	*-7.2%*	*-7.2%*
RL Gross Expenses (Post-Cuts)			$ 19,260	$ 17,916	$ 16,626
% of prior year expenses			*-10.0%*	*-8.0%*	*-8.0%*
RL Reinvestments			$ 214	$ 156	$ 145
% of cost cuts reinvested			*10.0%*	*10.0%*	*10.0%*
GAAP Net Income	**$ 62,360**	**$ 60,458**	**$ 76,508**	**$ 90,652**	**$ 102,563**
GAAP EPS (Diluted)	**$ 23.99**	**$ 23.49**	**$ 29.62**	**$ 34.74**	**$ 38.97**
% diff. vs. GSe			***2.9%***	***3.4%***	***3.9%***

Source: Company data, Goldman Sachs Global Investment Research

Below we present scenario analyses flexing these two variables (expense cuts & % reinvestment rate) in 2026 & 2027.

Exhibit 4: Scenario Analysis - Flexing Reality Labs Expense Cuts (& % Reinvestment)
$mm, except per-share values

META Total GAAP Expenses ($mm)

2026E:

% Reinvestment Rate	Reality Labs Cost Cuts (% of prior yr expenses) 0.0%	-5.0%	-10.0%	-15.0%	-20.0%	-25.0%
25.0%	$ 165,794	$ 164,992	$ 164,189	$ 163,387	$ 162,584	$ 161,782
20.0%	$ 165,794	$ 164,938	$ 164,082	$ 163,226	$ 162,370	$ 161,514
15.0%	$ 165,794	$ 164,885	$ 163,975	$ 163,066	$ 162,156	$ 161,247
10.0%	$ 165,794	$ 164,831	$ 163,868	$ 162,905	$ 161,942	$ 160,979
5.0%	$ 165,794	$ 164,778	$ 163,761	$ 162,745	$ 161,728	$ 160,712
0.0%	$ 165,794	$ 164,724	$ 163,654	$ 162,584	$ 161,514	$ 160,444

% delta vs. current GSe:

% Reinvestment Rate	Reality Labs Cost Cuts (% of prior yr expenses) 0.0%	-5.0%	-10.0%	-15.0%	-20.0%	-25.0%
25.0%	-0.3%	-0.8%	-1.3%	-1.8%	-2.3%	-2.7%
20.0%	-0.3%	-0.8%	-1.4%	-1.9%	-2.4%	-2.9%
15.0%	-0.3%	-0.9%	-1.4%	-2.0%	-2.5%	-3.1%
10.0%	-0.3%	-0.9%	-1.5%	-2.1%	-2.6%	-3.2%
5.0%	-0.3%	-0.9%	-1.6%	-2.2%	-2.8%	-3.4%
0.0%	-0.3%	-1.0%	-1.6%	-2.3%	-2.9%	-3.5%

META Total GAAP Operating Income ($mm)

% Reinvestment Rate	Reality Labs Cost Cuts (% of prior yr expenses) 0.0%	-5.0%	-10.0%	-15.0%	-20.0%	-25.0%
25.0%	$ 85,314	$ 86,116	$ 86,919	$ 87,721	$ 88,524	$ 89,326
20.0%	$ 85,314	$ 86,170	$ 87,026	$ 87,882	$ 88,738	$ 89,594
15.0%	$ 85,314	$ 86,223	$ 87,133	$ 88,042	$ 88,952	$ 89,861
10.0%	$ 85,314	$ 86,277	$ 87,240	$ 88,203	$ 89,166	$ 90,129
5.0%	$ 85,314	$ 86,330	$ 87,347	$ 88,363	$ 89,380	$ 90,396
0.0%	$ 85,314	$ 86,384	$ 87,454	$ 88,524	$ 89,594	$ 90,664

% delta vs. current GSe:

% Reinvestment Rate	Reality Labs Cost Cuts (% of prior yr expenses) 0.0%	-5.0%	-10.0%	-15.0%	-20.0%	-25.0%
25.0%	0.7%	1.6%	2.5%	3.5%	4.4%	5.4%
20.0%	0.7%	1.7%	2.7%	3.7%	4.7%	5.7%
15.0%	0.7%	1.7%	2.8%	3.9%	4.9%	6.0%
10.0%	0.7%	1.8%	2.9%	4.1%	5.2%	6.3%
5.0%	0.7%	1.9%	3.0%	4.2%	5.4%	6.6%
0.0%	0.7%	1.9%	3.2%	4.4%	5.7%	7.0%

META - GAAP EPS

% Reinvestment Rate	Reality Labs Cost Cuts (% of prior yr expenses) 0.0%	-5.0%	-10.0%	-15.0%	-20.0%	-25.0%
25.0%	$ 28.97	$ 29.24	$ 29.51	$ 29.78	$ 30.04	$ 30.31
20.0%	$ 28.97	$ 29.26	$ 29.54	$ 29.83	$ 30.11	$ 30.40
15.0%	$ 28.97	$ 29.28	$ 29.58	$ 29.88	$ 30.19	$ 30.49
10.0%	$ 28.97	$ 29.29	$ 29.62	$ 29.94	$ 30.26	$ 30.58
5.0%	$ 28.97	$ 29.31	$ 29.65	$ 29.99	$ 30.33	$ 30.67
0.0%	$ 28.97	$ 29.33	$ 29.69	$ 30.04	$ 30.40	$ 30.75

% delta vs. current GSe:

% Reinvestment Rate	Reality Labs Cost Cuts (% of prior yr expenses) 0.0%	-5.0%	-10.0%	-15.0%	-20.0%	-25.0%
25.0%	0.6%	1.6%	2.5%	3.4%	4.3%	5.3%
20.0%	0.6%	1.6%	2.6%	3.6%	4.6%	5.6%
15.0%	0.6%	1.7%	2.7%	3.8%	4.8%	5.9%
10.0%	0.6%	1.8%	2.9%	4.0%	5.1%	6.2%
5.0%	0.6%	1.8%	3.0%	4.2%	5.3%	6.5%
0.0%	0.6%	1.9%	3.1%	4.3%	5.6%	6.8%

2027E

% Reinvestment Rate	Reality Labs Cost Cuts (% of prior yr expenses) 2.0%	-3.0%	-8.0%	-13.0%	-18.0%	-23.0%
25.0%	$ 199,443	$ 197,856	$ 196,329	$ 194,863	$ 193,457	$ 192,110
20.0%	$ 199,465	$ 197,773	$ 196,150	$ 194,596	$ 193,110	$ 191,692
15.0%	$ 199,486	$ 197,690	$ 195,972	$ 194,330	$ 192,767	$ 191,280
10.0%	$ 199,507	$ 197,607	$ 195,794	$ 194,067	$ 192,427	$ 190,874
5.0%	$ 199,529	$ 197,525	$ 195,617	$ 193,806	$ 192,092	$ 190,474
0.0%	$ 199,550	$ 197,442	$ 195,441	$ 193,547	$ 191,761	$ 190,081

% delta vs. current GSe:

% Reinvestment Rate	Reality Labs Cost Cuts (% of prior yr expenses) 2.0%	-3.0%	-8.0%	-13.0%	-18.0%	-23.0%
25.0%	0.1%	-0.7%	-1.5%	-2.2%	-2.9%	-3.6%
20.0%	0.1%	-0.7%	-1.6%	-2.3%	-3.1%	-3.8%
15.0%	0.1%	-0.8%	-1.7%	-2.5%	-3.3%	-4.0%
10.0%	0.1%	-0.8%	-1.7%	-2.6%	-3.4%	-4.2%
5.0%	0.1%	-0.9%	-1.8%	-2.7%	-3.6%	-4.4%
0.0%	0.1%	-0.9%	-1.9%	-2.9%	-3.8%	-4.6%

% Reinvestment Rate	Reality Labs Cost Cuts (% of prior yr expenses) 2.0%	-3.0%	-8.0%	-13.0%	-18.0%	-23.0%
25.0%	$ 99,654	$ 101,241	$ 102,768	$ 104,235	$ 105,641	$ 106,987
20.0%	$ 99,633	$ 101,324	$ 102,947	$ 104,502	$ 105,988	$ 107,406
15.0%	$ 99,612	$ 101,407	$ 103,126	$ 104,767	$ 106,331	$ 107,818
10.0%	$ 99,590	$ 101,490	$ 103,304	$ 105,030	$ 106,670	$ 108,224
5.0%	$ 99,569	$ 101,573	$ 103,480	$ 105,291	$ 107,006	$ 108,623
0.0%	$ 99,547	$ 101,655	$ 103,656	$ 105,550	$ 107,337	$ 109,017

% delta vs. current GSe:

% Reinvestment Rate	Reality Labs Cost Cuts (% of prior yr expenses) 2.0%	-3.0%	-8.0%	-13.0%	-18.0%	-23.0%
25.0%	-0.2%	1.4%	2.9%	4.4%	5.8%	7.2%
20.0%	-0.2%	1.5%	3.1%	4.7%	6.2%	7.6%
15.0%	-0.2%	1.6%	3.3%	4.9%	6.5%	8.0%
10.0%	-0.2%	1.7%	3.5%	5.2%	6.9%	8.4%
5.0%	-0.3%	1.7%	3.7%	5.5%	7.2%	8.8%
0.0%	-0.3%	1.8%	3.8%	5.7%	7.5%	9.2%

% Reinvestment Rate	Reality Labs Cost Cuts (% of prior yr expenses) 2.0%	-3.0%	-8.0%	-13.0%	-18.0%	-23.0%
25.0%	$ 33.53	$ 34.06	$ 34.56	$ 35.04	$ 35.51	$ 35.95
20.0%	$ 33.53	$ 34.08	$ 34.62	$ 35.13	$ 35.62	$ 36.09
15.0%	$ 33.52	$ 34.11	$ 34.68	$ 35.22	$ 35.73	$ 36.22
10.0%	$ 33.51	$ 34.14	$ 34.74	$ 35.30	$ 35.84	$ 36.36
5.0%	$ 33.50	$ 34.17	$ 34.79	$ 35.39	$ 35.96	$ 36.49
0.0%	$ 33.50	$ 34.19	$ 34.85	$ 35.48	$ 36.06	$ 36.62

% delta vs. current GSe:

% Reinvestment Rate	Reality Labs Cost Cuts (% of prior yr expenses) 2.0%	-3.0%	-8.0%	-13.0%	-18.0%	-23.0%
25.0%	-0.2%	1.4%	2.9%	4.3%	5.7%	7.0%
20.0%	-0.2%	1.5%	3.1%	4.6%	6.0%	7.4%
15.0%	-0.2%	1.5%	3.2%	4.8%	6.4%	7.8%
10.0%	-0.2%	1.6%	3.4%	5.1%	6.7%	8.2%
5.0%	-0.3%	1.7%	3.6%	5.4%	7.0%	8.6%
0.0%	-0.3%	1.8%	3.8%	5.6%	7.4%	9.0%

Source: Company data, Goldman Sachs Global Investment Research

Illustrative Scenario 3: Flexing Total Non-D&A Opex Growth (Flat Over 3 Years)
As detailed in our prior research (link | link), as capital intensity & the resulting D&A expense flow-through continues to rise, the US hyperscalers' ability to mitigate non-D&A expense growth as a building block to earnings growth going forward is a key variable. Our current META estimates assume non-D&A expense growth of ~M-HSD % in 2026-2031E (with total GAAP expenses growing at an ~18% 6-year CAGR as depreciation expense growth significantly outpaces non-D&A expense growth).

Exhibit 5: META - GSe Revenues, Capex, D&A and GAAP Expense Growth
$mm, 2023-2031E

	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	2031E
Total Revenues	$ 134,901	$ 164,500	$ 200,965	$ 251,108	$ 299,098	$ 345,410	$ 390,292	$ 433,170	$ 473,894
% y/y growth	*15.7%*	*21.9%*	*22.2%*	*25.0%*	*19.1%*	*15.5%*	*13.0%*	*11.0%*	*9.4%*
Total Capex	$ 28,103	$ 39,225	$ 72,215	$ 132,176	$ 158,611	$ 182,402	$ 200,642	$ 216,694	$ 229,695
% y/y growth	*-12.3%*	*39.6%*	*84.1%*	*83.0%*	*20.0%*	*15.0%*	*10.0%*	*8.0%*	*6.0%*
% capital intensity	*20.8%*	*23.8%*	*35.9%*	*52.6%*	*53.0%*	*52.8%*	*51.4%*	*50.0%*	*48.5%*
Total GAAP Expenses	$ 88,150	$ 95,120	$ 117,689	$ 166,346	$ 199,266	$ 233,171	$ 266,209	$ 296,395	$ 320,428
% y/y growth	*0.6%*	*7.9%*	*23.7%*	*41.3%*	*19.8%*	*17.0%*	*14.2%*	*11.3%*	*8.1%*
Total D&A	$ 11,177	$ 15,498	$ 18,616	$ 38,249	$ 57,259	$ 78,100	$ 99,171	$ 118,562	$ 132,964
% y/y growth	*28.7%*	*38.7%*	*20.1%*	*105.5%*	*49.7%*	*36.4%*	*27.0%*	*19.6%*	*12.1%*
Total GAAP Expenses (ex-D&A and one-timers)*	$ 71,609	$ 79,772	$ 99,073	$ 128,097	$ 142,007	$ 155,071	$ 167,038	$ 177,833	$ 187,464
% y/y growth	*-4.2%*	*11.4%*	*24.2%*	*29.3%*	*10.9%*	*9.2%*	*7.7%*	*6.5%*	*5.4%*

*one-timers include reported restructuring charges & legal accruals of ~$5.4bn in 2023 and $(150)m in 2024

Source: Company data, Goldman Sachs Global Investment Research

To illustrate how significant non-D&A expense growth is to reported earnings going forward, this scenario assumes total non-D&A expenses are flat YoY in 2026-28 which, all else equal, implies a significant ~30%+ tailwind to our current GAAP EBIT/EPS estimates in 2026 and ~40-50% tailwind in 2027-28. We highlight this as a "blue-sky" / "what-if" type scenario meant to show how important non-D&A expense growth is as an input variable and frame it as a low probability outcome given a number of factors (inflation in cost per employee particularly as Meta shifts priority toward more technical-oriented roles with an AI/ML compute background; continued likely growth in overall number of employees over a multi-year timeframe, etc.).

Exhibit 6: META Expense Scenario 3 - Flexing Total Non-D&A Opex Growth (Flat Over 3 Years)
$mm, except per-share values

META Expense Scenario 3 ($mm)	2024	2025	2026E	2027E	2028E
Revenues - Total	$ 164,500	$ 200,965	$ 251,108	$ 299,098	$ 345,410
% y/y growth	*21.9%*	*22.2%*	*25.0%*	*19.1%*	*15.5%*
GAAP EBIT - Total	$ 69,380	$ 83,276	$ 113,786	$ 142,765	$ 168,237
% margin	*42.2%*	*41.4%*	*45.3%*	*47.7%*	*48.7%*
% diff. vs. GSe			***34.2%***	***43.0%***	***49.9%***
GAAP Expenses - Total	$ 95,120	$ 117,689	$ 137,322	$ 156,332	$ 177,173
% y/y growth	*7.9%*	*23.7%*	*16.7%*	*13.8%*	*13.3%*
% diff. vs. GSe			***-17.4%***	***-21.5%***	***-24.0%***
D&A	$ 15,498	$ 18,616	$ 38,249	$ 57,259	$ 78,100
% y/y growth	*38.7%*	*20.1%*	*105.5%*	*49.7%*	*36.4%*
Non-D&A	$ 79,622	$ 99,073	$ 99,073	$ 99,073	$ 99,073
% y/y growth	*3.4%*	*24.4%*	*0.0%*	*0.0%*	*0.0%*
GAAP Net Income	$ 62,360	$ 60,458	$ 99,337	$ 124,589	$ 146,902
GAAP EPS (Diluted)	$ 23.99	$ 23.49	$ 38.45	$ 47.74	$ 55.82
% diff. vs. GSe			***33.6%***	***42.1%***	***48.8%***

Source: Company data, Goldman Sachs Global Investment Research

Valuation & Key Risks:

We maintain our Buy rating on META. Our $835 12-month price target (unchanged) is

based on an equal blend of (1) EV/GAAP EBIT applied to our NTM + 1 year estimates and (2) a modified DCF using EV/FCF-SBC multiple applied to our NTM + 4 years estimates.

Exhibit 7: META Valuation Analysis
mm, except per-share data

Scenario Analysis	Downside	Base	Upside
Valuation	$ 540	$ 835	$ 1,175
% upside/downside	*-8%*	*42%*	*100%*
GAAP EBIT (NTM)	$ 69,306	$ 84,762	$ 97,631
EBIT Margin %	30.0%	33.8%	36.0%
GAAP EBIT (NTM + 1 year)	$ 82,102	$ 99,832	$ 118,443
EBIT Margin %	30.5%	33.4%	36.0%
EV / GAAP EBIT	18.0x	26.0x	28.0x
EBIT CAGR	-0.7%	9.5%	19.3%
EV / GAAP EBIT to Growth	n/a	2.74x	1.45x
Enterprise Value	$ 1,477,841	$ 2,595,621	$ 3,316,394
FCF-SBC (NTM + 4 years)	$ 51,980	$ 57,657	$ 77,971
FCF % of Sales	12.0%	13.3%	18.0%
EV / FCF-SBC	36.0x	40.0x	46.0x
FCF-SBC CAGR	47.0%	20.0%	68.2%
EV / FCF-SBC-to-Growth	0.77x	2.00x	0.67x
Discount Rate	15.0%	12.0%	10.0%
Discount Period (Years)	3	3	3
Enterprise Value (NTM + 3 years)	$ 1,871,294	$ 2,306,281	$ 3,586,646
Discounted Enterprise Value	$ 1,230,406	$ 1,641,565	$ 2,694,700
Weightings			
EV derived from GAAP EBITDA	50%	50%	50%
EV derived from (FCF-SBC)	50%	50%	50%
Enterprise Value	$ 1,354,124	$ 2,118,593	$ 3,005,547
Capital Structure Adjustments			
Adjusted Net Debt - NTM Ending	$ (41,064)	$ (41,064)	$ (41,064)
Dividends	$ 5,391	$ 5,391	$ 5,391
Adj. Shares Outstanding - NTM Ending	2,595	2,595	2,595

Source: Company data, Goldman Sachs Global Investment Research

Risks to our Buy rating include: a) competition for user growth, user engagement & advertising dollars across an array of incumbent and emerging Internet, media and commerce companies; b) large investments in long-tailed initiatives depress operating margins for longer than our forecasts; c) no/low levels of incremental shareholder returns going forward; d) regulatory scrutiny and industry practices altering the business model's prospects; e) potential antitrust scrutiny could prove to be a headwind to M&A aspiration (to add talent and product innovation inorganically) and/or result in a break-up or dis-synergies of prior period M&A activity; & f) inability to monetize upside optionality opportunities (messaging layer, social commerce/shopping, Oculus/Metaverse). In addition, Meta is exposed to the volatility caused by the global macroeconomic environment and investor risk appetite for growth stocks.

Disclosure Appendix

Reg AC

We, Eric Sheridan, Alex Vegliante, CFA, Aarshiya Sachdeva and Emma Huang, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

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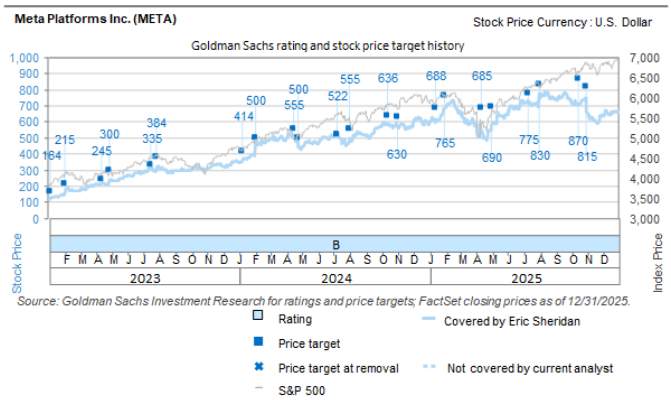
Price target and rating history chart(s)



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Target price history table(s)

Meta Platforms Inc. (META)

Date of report	Target price ($)	Closing price ($)
29-Jan-26	835.00	738.31
30-Oct-25	815.00	666.47
14-Oct-25	870.00	708.65
31-Jul-25	830.00	773.44
10-Jul-25	775.00	727.24
01-May-25	690.00	572.21
11-Apr-25	685.00	543.57
30-Jan-25	765.00	687.00
13-Jan-25	688.00	608.33
31-Oct-24	630.00	567.58
14-Oct-24	636.00	590.42
01-Aug-24	555.00	497.74
08-Jul-24	522.00	529.32
25-Apr-24	500.00	441.38
15-Apr-24	555.00	500.23
02-Feb-24	500.00	474.99
10-Jan-24	414.00	370.47
27-Jul-23	384.00	311.71
17-Jul-23	335.00	310.62
27-Apr-23	300.00	238.56
12-Apr-23	245.00	214.00

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